

HEADLINE JUDGMENT

Note: 17 Jul figures are intraday prints; 16 Jul is now a final close (\$82.96 Brent). Bloomberg's restated continuation series (front-month CO2/CL2) in force; JGLA / Asia LNG pulled fresh. **Score HOLDS at 25/30 — all six channels unchanged — but the mid-week de-escalation the market priced has NOT been validated on the ground: the Muscat off-ramp FAILED.** Talks between Iran and Oman collapsed; Iran then struck four Gulf states again and even hit Oman's own Duqm port, damaging the mediator it had been negotiating with. The strait has stayed closed since 12 Jul; the US now runs a naval blockade plus an escort operation, and a new Persian Gulf Strait Authority has formed. **Yet the market has PLATEAUED rather than re-escalated:** Brent ~\$83.9 (+\$11.4), the 30Y ~5.09% (still above 5.00%), MOVE ~68 (below 75), VIX ~16.7, 5Y5Y ~2.187% (below the 2.20% line, above the anchor). The market has settled into treating this as a contained, blockaded stalemate — looking through the geopolitical noise as long as the Saudi/UAE bypass pipelines keep oil near \$84. **The two market upgrades hold on hysteresis for a third session:** Treasury stays 5 (30Y >5.00%; MOVE cooled), US-inflation stays 4 (5Y5Y above the 2.142% anchor but below 2.20%) — both on watch, neither downgrade trigger met. **The one channel still building is political:** AAA gasoline rose to \$4.56 (from \$4.50), now just 19 cents from the \$4.75 →5 threshold — the most imminent move, which would take the score to 26. Escalation and maritime stay maxed at 5. Sequencing 25 → 25 → 25.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

17 Jul 2026 readings are intraday prints; 16 Jul and earlier are final closes (restated continuation series; front-month CO2/CL2). d/d deltas are 17 Jul intraday vs 16 Jul close; w/w deltas are vs 10 Jul close.

Benchmark	Intraday 17 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$83.86 /bbl	+\$0.90 (+\$7.83 w/w)	from \$72.48 (+15.7%) — ~\$11.4/bbl premium; plateaued, \$11.1 below the \$95 oil→3 trigger	CO2 Comdty
Brent · 16 Jul close (carried)	\$82.96 /bbl (−\$0.94 vs my intraday)	held the ~\$83–84 plateau; no re-escalation despite the failed Muscat talks		CO2 Comdty (Close)
WTI front-month	\$79.19 /bbl	+\$0.91 (+\$7.85 w/w)	from \$67.02 (+18.2%) — near \$80	CL2 Comdty
Brent–WTI spread	\$4.67 /bbl	−\$0.01 d/d	wide	derived
Henry Hub natural gas	\$2.90 /MMBtu	+\$0.04 (−\$0.04 w/w)	from \$3.06 (−5.5%) — US gas BELOW pre-war (domestic); not Hormuz-exposed	NGA Comdty
TTF Dutch gas (active)	€55.77 /MWh	+€0.98 (+€7.11 w/w)	from €31.23 (+78.6%) — still climbing; 20% of global LNG transits the strait	TZTA Comdty
Japan/Asia LNG (16 Jul close)	¥3,240	+¥72 d/d	from ¥1,669 (+94.1%) — the most-stressed energy gauge; Qatari LNG strait-locked, still rising	JGLA Comdty
Strait · Muscat talks failed	Iran–Oman talks on the two-route plan collapsed; Iran struck four Gulf states again and hit Oman's Duqm port. The US runs a blockade + naval escort operation; a Persian Gulf Strait Authority has formed.			Reuters / NaturalNews
IEA · supply 9.4 mb/d below pre-war	The "glut shield" is thinner than assumed but is still capping crude near \$84; ADNOC cut its Aug Murban OSP to \$80.01. ~6,000 seafarers remain stranded.			IEA / UN

US Treasuries and inflation expectations — Bloomberg

17 Jul 2026 yields are intraday. d/d deltas are 17 Jul intraday vs 16 Jul close; w/w deltas are vs 10 Jul close. Rates have re-anchored and plateaued — the long end holds just above 5.00% and forward inflation sits in the hysteresis band below its trigger.

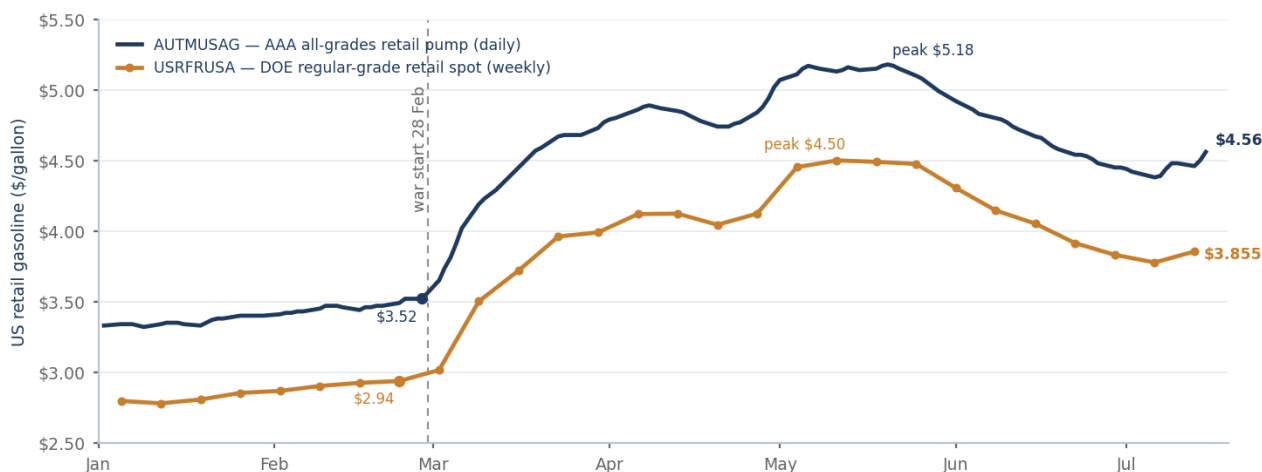
Tenor	Yield (%) — intraday 17 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.14	+0.2	−6.5	+77 (from 3.37%) — eased w/w as the panic reversed	USGG2YR Index
5-year UST	4.27	+0.0	−3.5	+77 (from 3.50%)	USGG5YR Index
10-year UST	4.56	+0.2	−0.6	+62 (from 3.94%) — 9 bp below the 4.65% trigger	USGG10YR Index
30-year UST	5.09	+0.5	+3.0	+48 (from 4.61%) — holds above 5.00% (Treasury stays 5)	USGG30YR Index
2s10s spread	+41 bp	+0.2	+6.1	−15 (re-steepened)	USYC2Y10 Index
10Y breakeven inflation	2.23	+0.2	−2.1	−2 (from 2.257%) — back below pre-war	USGGBE10 Index
5Y5Y forward inflation	2.19	−0.0	−0.1	+5 (from 2.14%) — below the 2.20% line for a 3rd session; still above the anchor (US-inflation held 4, on watch)	USGG5Y5Y Index

Tenor	Yield (%) — intraday 17 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Latest	As of	Δ vs pre-war	Interpretation	
100.71	17 Jul intraday	+3.10 (from 97.61)	Rangebound ~100.7 — no haven bid; the dollar is not the stress valve.	
68.16	16 Jul (lagged)	-5.22 (from 73.38)	Held ~68, below the 75 Treasury→5 vol leg and below pre-war — the bond-vol breakout stayed unwound. The channel holds 5 only on the 30Y (>5.00%).	
16.73	16 Jul (lagged)	-3.13 (from 19.86)	Ticked up slightly but still below pre-war — equities price a contained stalemate, not a widening war, even after Muscat failed.	
\$4.56 /gal	15 Jul (latest)	+\$1.04 (from \$3.52, +30%)	The political-stress reference (pre-war \$3.52, peak \$5.18). Up from \$4.50 — rising ~5c/session as the crude premium feeds through. Just 19 cents below the \$4.75 threshold.	
\$3.855 /gal	13 Jul (weekly)	~+\$0.92 (from ~\$2.94, +31%)	Regular-grade spot; awaiting the next weekly print, which should jump on the crude bid.	USRFRUSA Index

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest \$4.56); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$3.855). The AAA line has now risen for six of the last seven sessions (\$4.38 → \$4.56) as the \$11/bbl crude premium feeds the pump — the one channel where the shock is still intensifying. It is 19 cents from the \$4.75 political→5 threshold; at the recent ~5c/session pace that is roughly three to four sessions away.

Strait operational state

Indicator	Current reading	Source
Muscat off-ramp FAILED	Iran–Oman talks on the two separately controlled routes collapsed; both sides had expressed a desire to restore the MoU, but the Muscat readout showed “little decided,” and the US–Oman corridor dispute (Article 5) went unresolved.	CBS / MS NOW / NaturalNews
Iran strikes the mediator	After the talks failed, Iran struck US facilities in the UAE, Kuwait, Bahrain and Jordan, and — critically — hit Oman's own territory including the strategic Duqm port. Oman formally protested; the mediator is now compromised.	NaturalNews / Reuters
Strait closed since 12 Jul	The strait remains closed to commercial traffic; the US runs a naval blockade plus an escort operation, and a new Persian Gulf Strait Authority has been formed to govern passage. Iran conditions transit on its own coordination and fees.	Wikipedia / CENTCOM
...but the market plateaued	Despite the failed talks, Brent held ~\$84, MOVE ~68 and VIX ~16.7 — no re-escalation in prices. The market is pricing a contained, blockaded stalemate, leaning on the glut and bypass pipelines.	Bloomberg
Gas complex most stressed	Asia LNG +94% and TTF +79% vs pre-war and still climbing, versus US Henry Hub -5.5% — the shock is a Hormuz/LNG-routing event (Qatari LNG strait-locked), not a global-energy event.	Bloomberg
Wells Fargo view	“Until something changes with the status of the Strait, the bias remains for higher oil prices and, in turn, higher expected inflation and interest rates, and episodes of equity price volatility.”	Wells Fargo II

2 · US economic shock — analysis with bond yields

The US economic shock holds at **25/30** in a genuine plateau. Yesterday the market was de-escalating ahead of the event channels on hopes for the Muscat two-route deal; those talks have since failed, yet the market has not re-escalated — it has settled into a blockaded-stalemate regime. Rates are re-anchored (bond vol and forward inflation below trigger), oil is rangebound ~\$84, and the two market upgrades survive only on hysteresis. The one live upside is political stress, with gasoline closing on its trigger. This is the quietest tape since the re-escalation began — an uneasy calm around a closed strait.

2.1 · Bond-yield transmission

17 Jul yields are intraday; d/d vs 16 Jul close, w/w vs 10 Jul. **No channel moved; score held at 25.** The curve is little changed on the day and eased on the week (2Y -6.5 bp w/w); the 30Y holds just above 5.00%, 5Y5Y sits in the hysteresis band, and bond vol is stable ~68. Brent is rangebound.

(i) Treasury — held at 5 on hysteresis (3rd session). The 30Y closed at 5.083% (16 Jul) and prints 5.089% intraday — still above the 5.00% price leg — while MOVE (68.16) stays below the 75 vol leg. The downgrade trigger (30Y close <5.00% with MOVE <75) is not met, so the channel holds; a single 30Y close below 5.00% would revert it to 4. The elevated long end is now term premium around a closed strait, not acute stress.

(ii) Inflation anchor — held at 4 on hysteresis (3rd session), marginal. 5Y5Y has now closed below the 2.20% upgrade line for three straight sessions (2.185%, 2.188%, 2.187% intraday), but remains +4.5 bp above the 2.142% pre-war anchor — inside the hysteresis band. We hold at 4 and flag it clearly: a move toward the anchor reverts the channel to 3. The market is no longer actively repricing inflation higher; nor has it fully unwound the move.

(iii) Oil — \$83.86; held at 2. Closes 15 Jul \$83.47, 16 Jul \$82.96; 17 Jul intraday \$83.86 (+\$11.4 premium, +15.7% vs pre-war); WTI \$79.19. A tight \$82–84 plateau despite a closed strait, a reinstated blockade and failed talks — the clearest evidence that spare capacity and the Saudi/UAE bypass pipelines are absorbing the physical shock. The \$95 oil→3 trigger is \$11.1 away.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. With the panic unwound, Threshold B has receded from Monday's 3-bp near-miss.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With the 30Y at 5.09%, the next long-bond auction remains a demand test at these levels.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Eased. 30Y 5.089% is 11 bp below 5.20%; 10Y 4.556% is 9 bp below 4.65%. Both stable, neither imminent.

Threshold C · MOVE above 130. Receding. MOVE 68.16 sits below pre-war; VIX 16.73. Bond vol has fully normalised — far below Stage-4 levels.

2.3 · Cross-asset

The plateau is the story. A closed strait, a reinstated US blockade, a failed mediation and Iranian strikes on five Gulf states plus Oman itself would, in March, have driven Brent well past \$100 and MOVE toward triple digits. Instead Brent sits at \$84 and MOVE at 68. The market has concluded — rightly or complacently — that the glut and the bypass pipelines make this closure economically absorbable, and it is now trading the conflict as a slow, contained stalemate rather than an escalating crisis. The exception is the gas complex (Asia LNG +94%, TTF +79%), where there is no pipeline bypass for strait-locked Qatari LNG, and the pump, where the crude premium is steadily reaching US households (AAA \$4.56). The risk to the plateau is asymmetric and physical: an attack on Gulf energy infrastructure, or hard evidence of sustained lost cargoes, would break the containment narrative and move oil, breakevens and bond vol together — exactly the convexity that drove the 23→24→25 climb.

3 · Shock score

Total: **25/30 — CRISIS band**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). The strait has been closed since 12 Jul; the US runs a naval blockade plus an escort operation, a Persian Gulf Strait Authority has formed, and the Muscat two-route talks failed. No verified commercial reopening.	↑ at max. ↓ verified reopening (escorted convoys) with traffic >25% of normal for 10 sessions → to 3–4.
Oil price shock	2/5	Held at 2. Brent \$83.86 (+\$11.4, +15.7% vs pre-war), plateaued \$82–84; WTI \$79.19. \$11.1 below the \$95 trigger — spare capacity and bypass pipelines are absorbing the closed strait.	↑ Brent >\$95 sustained → to 3. ↓ mediated pause + close back at/below the \$72.48 anchor → to 1.
US inflation impulse	4/5	Held at 4 on hysteresis — ON WATCH (marginal). 5Y5Y closed below the 2.20% line for a 3rd session (2.187%) but stays +4.5 bp above the 2.142% anchor. Downgrade needs a move to the anchor.	↑ 5Y5Y sustained >2.30% → to 5. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 3.
Treasury stress	5/5	Held at 5 on hysteresis (3rd session). The 30Y holds above 5.00% (5.089%), MOVE 68.16 (<75). Term premium around a closed strait, not acute stress; a 30Y close <5.00% reverts to 4.	↑ at max. ↓ 30Y close <5.00% with MOVE <75 sustained → to 4.
Political stress	4/5	Held at 4 — the one channel still building; →5 imminent. AAA pump \$4.56 (15 Jul), up from \$4.50 and rising ~5c/session as the crude premium feeds through. 19 cents below the \$4.75 threshold — roughly 3–4 sessions.	↑ gasoline >\$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	5/5	Held at 5 (max). The Muscat off-ramp failed; Iran struck four Gulf states and Oman's Duqm port, compromising the mediator. The blockade stands and the ceasefire is "over."	↑ at max. ↓ mediated stand-down holds + talks resume → to 4–3.
TOTAL	25/30	CRISIS band — held at 25 for a third session, now a plateau. Muscat failed but the market did not re-escalate; two upgrades survive on hysteresis. Political (→5, 19c away) is the most imminent move up; a new mediation venue is the path down. An uneasy calm around a closed strait.	

4 · What's changed since the last edition (16 Jul → 17 Jul AM)

Score holds at 25/30 for a third session — now a plateau. No channel moved. Source: Bloomberg / NaturalNews / Reuters.

The Muscat off-ramp failed. Iran–Oman two-route talks collapsed; the de-escalation the market priced mid-week was not validated. Escalation stays 5. Source: CBS / NaturalNews.

Iran struck the mediator. After the talks failed Iran hit four Gulf states and Oman's Duqm port, drawing an Omani protest — the mediation channel is now compromised. Source: NaturalNews / Reuters.

But the market plateaued. Brent held ~\$84, the 30Y ~5.09%, MOVE ~68 and VIX ~16.7 — no price re-escalation. The market is trading a contained, blockaded stalemate. Source: Bloomberg.

Both upgrades held on hysteresis. Treasury stays 5 (30Y >5.00%) and US-inflation stays 4 (5Y5Y above the 2.142% anchor) for a third session; neither downgrade trigger met. Source: Bloomberg.

Gasoline keeps climbing. AAA rose to \$4.56 (from \$4.50) — 19 cents from the \$4.75 political→5 threshold, the most imminent upgrade. Source: AAA.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
New mediation venue succeeds — strait reopens	12%	With Oman compromised (Duqm hit), Qatar/Pakistan/Turkey broker a fresh safe-passage deal; strikes halt, the blockade lifts, escorted traffic rebuilds.	Brent \$70–82; MOVE <68; Treasury→4, US-inflation→3, escalation→4; score falls toward 20–22.
Contained but violent — blockaded stalemate	34%	The base case now: a closed strait, a US blockade/escort operation, escort-only transits, sporadic strikes, no functioning mediation — but oil rangebound on the bypass pipelines.	Brent \$80–92; MOVE 66–78; risk premium \$8–18/bbl; score 25–26 as political→5.
Deal collapse — MoU formally lapses	24%	The 60-day MoU dies at its midpoint with Muscat's failure; sanctions harden, the strait stays shut, fighting persists at low intensity.	Brent \$90–106; oil to 3; 10Y >4.65%, 30Y >5.20% (Stage-4 B trips); score 26–27.
Return to full war	24%	The strike cycle re-intensifies into a sustained campaign after the failed talks; Iran hits Gulf bases/infrastructure at scale.	Brent \$105–140; MOVE >90; oil to 3–4, political to 5, US-inflation back to 5; score 28–30.
Regional relapse — Gulf energy infrastructure hit	6%	Iran hits Abqaiq/Ras Tanura/Fujairah or the bypass pipelines — removing the last cushion. Precedent set (UAE tankers, Jordan/Oman strikes).	Brent \$150+; emergency policy; HY spreads >500 bp; score 29–30.

Probability shifts from the 16 Jul edition: the Omani off-ramp is downgraded and re-cast as "new mediation venue" at 12% (from 20%) after Muscat failed and Oman was struck; contained-but-violent +6 (28→34) becomes the clear base case; deal collapse +2 (22→24); return to full war held (24%); regional relapse held (6%). Driver: the failure of the Muscat track and Iran's strike on the mediator remove the nearest off-ramp, but the market's refusal to re-escalate (Brent flat ~\$84) keeps a contained stalemate the most likely path. The next score move is more likely political→5 (up) than a hysteresis downgrade (down).

6 · Watchlist · next 24–72 hours

Political →5 (\$4.75) — the most imminent move. AAA gasoline \$4.56, rising ~5c/session as the crude premium feeds through; 19 cents from the threshold, roughly 3–4 sessions. Would take the score to 26.

A new mediation venue — the path down. With Oman compromised, whether Qatar/Pakistan/Turkey open a fresh channel. A credible safe-passage deal reverts escalation/maritime and the two hysteresis-held market channels.

Oil →3 (\$95). Brent plateaued ~\$84; a blockade-driven physical squeeze or a Gulf-infrastructure hit that breaks \$95 takes oil 2→3. The bypass pipelines are the swing.

Treasury →4 / US-inflation →3 (hysteresis downgrades). A 30Y close below 5.00% reverts Treasury; a 5Y5Y move to the 2.142% anchor reverts US-inflation. Both require the de-escalation to actually deliver — which Muscat did not.

Gulf energy infrastructure — the tail. Abqaiq/Ras Tanura/Fujairah or the bypass pipelines — the scenario that removes the cushion capping oil at \$84 and breaks the plateau.

Gas complex. Asia LNG +94% and TTF +79% and still rising — the most-stressed gauges, with no pipeline bypass for strait-locked Qatari LNG. Watch for European/Asian demand rationing.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (Brent/WTI front-month); NGA/TZTA/JGLA Comdty (Asia LNG pulled fresh); USGG2YR/5YR/10YR/20YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (AAA pump — score reference) and USRFRUSA (DOE regular spot, weekly — corroboration).

Tier 1 — news and institutional. Reuters, CBS News, MS NOW, Bloomberg, ABC News, the House of Commons Library, Wikipedia, the IEA, the UN, Wells Fargo Investment Institute; US CENTCOM, Federal Reserve. The failed Muscat two-route talks, Iran's strikes on four Gulf states and Oman's Duqm port, the standing US blockade/escort operation and the new Persian Gulf Strait Authority via Reuters / CBS / NaturalNews / Wikipedia.

Tier 3 — state media (labelled). Iranian statements (the closure declaration, routing/fee claims, condemnations of US strikes, the new Supreme Leader's "vengeance" message) are labelled and corroborated against Reuters / CBS / CENTCOM; IRNA, Tasnim, Mehr, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (16 Jul); re-map columns via the robust scan (oil front-month CO2/CL2; both gasoline series; Asia LNG pulled fresh).
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 10 Jul this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market channels move on a confirmed close — all held: oil 2 (<\$95); Treasury 5 and US-inflation 4 on hysteresis (30Y still >5.00%; 5Y5Y still >the 2.142% anchor); political 4 (AAA \$4.56 <\$4.75, →5 imminent). Maritime/escalation event-based, both maxed at 5 (Muscat failed).
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 16 Jul close eased \$0.94 off my oil intraday; the market plateaued despite the failed talks).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with political→5 (\$4.75, imminent), a new mediation venue, oil→3 (\$95) and the Treasury/US-inflation hysteresis downgrades.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move only on a confirmed close through a trigger; escalation-risk is event-based. **Hysteresis note:** Treasury (5) and US-inflation (4) held for a third session despite their triggering conditions having eased (MOVE below 75; 5Y5Y below 2.20%), because the published downgrade triggers (30Y close <5.00%; 5Y5Y sustained at/below the 2.142% anchor) are not met. Upgrade on a sustained break; downgrade only on a sustained reversal past a wider threshold — deliberately, to avoid whipsawing.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest \$4.56) for continuity. USRFRUSA (DOE regular-grade retail spot; pre-war ~\$2.94, peak \$4.50, latest \$3.855) is tracked alongside. See the chart in section 1.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent +15.7%, WTI +18.2%, TTF +78.6%, Asia LNG +94.1%; the 30Y (+48 bp) and 5Y5Y (+5 bp) sit above; MOVE, 10Y BE, VIX and US Henry Hub are at/below pre-war — the market's stress gauges stay re-anchored while the geopolitical channels remain maxed.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close. Market-channel triggers are evaluated on confirmed closes; escalation-risk is event-based. Absolute levels use the restated continuation series and are not directly comparable with pre-restatement editions, though the directional analysis is continuous.